

Notes: Philippon & Reshef (QJE, 2012)

Wages and Human Capital in the U.S. Finance Industry: 1909–2006

Contents

1	Big picture	3
2	Incremental contribution of the paper	3
3	Data and measurement	4
3.1	Industry scope and comparison group	4
3.2	Relative education	4
3.3	Relative wages and top earners	4
3.4	Job complexity and task measures	4
3.5	Explanatory variables	5
4	Models and empirical specifications	5
4.1	Top-decile finance talent measure	5
4.2	Relative top wage in finance	5
4.3	Demand for skill framework	5
4.4	Historical change regressions	6
4.5	Individual wage premium regressions	6
4.6	Career wage profile regressions	6
5	Identification and empirical design	6
5.1	What makes the evidence informative	6
5.2	Main identification limitation	7
6	Tables and figures	8
6.1	Figure I: Finance Relative Wage and Relative Education; Table I: Summary Statistics	8
6.2	Figure II: Top Earners in Finance; Figure III: Top Earners in Finance Relative to Selected Industries	8
6.3	Figure IV: Top Executive Relative Compensation in Finance; Table II: Decomposition of Changes in Relative Wage of Finance	10
6.4	Figure V: Subsector Wage and Education; Figure VI: Relative Complexity	11
6.5	Figure VII: Contribution of Finance to Inequality; Figure VIII: Explanatory Variables	12
6.6	Table III: Historical Determinants of Education and Wages in Finance Industry	13
6.7	Figure IX: Finance Relative Wage in the Past Century; Figure X: Predicted Relative Wages	13
6.8	Figure XI: Finance Wage Premium; Table IV: The Finance Premium Over Time with Individual Fixed Effects; Table V: Career Wage Profiles	14
7	Short summary	16
8	Conclusion	16

8.1	Core conclusion	16
8.2	Economic intuition	16
8.3	Incremental contribution revisited	16
8.4	Implications for inequality and regulation	16
8.5	Limitations	17
8.6	Takeaway	17

1 Big picture

- **Question.** How did skill intensity, job complexity, and compensation in the U.S. finance industry evolve over the twentieth century, and what economic forces explain the large post-1980 rise in finance wages?
- **Central fact.** Finance displays a pronounced U-shape: it was high-skill and high-wage before 1940, became similar to the rest of the private sector between roughly 1950 and 1980, and returned to very high skill intensity and pay after 1980.
- **Main mechanism studied.** Financial deregulation, corporate finance activity, information technology, and globalization shift the demand for skilled financial labor. Deregulation is the most robust predictor of the rise in relative finance education and wages.
- **Wage premium.** Education-adjusted wages in finance were similar to nonfinance wages until around 1990. By 2006, average finance wages include a premium of about 50 percent. Top executive compensation in finance follows the same timing and reaches a much larger premium.
- **Human-capital allocation.** The paper connects finance to the allocation of talent. Finance attracts skilled workers when financial markets are complex and deregulated, but the paper does not claim that the social return to this talent allocation is necessarily high.
- **Inequality.** Finance explains a meaningful share of the rise in income inequality after 1980, especially at the top of the wage distribution.
- **Labor contracts.** Part of the recent finance wage premium reflects steeper and riskier earnings profiles. Finance jobs became more backloaded and more dispersed, so the certainty-equivalent premium is smaller than the raw average wage premium.
- **Takeaway.** The finance industry of the 2000s looks surprisingly similar to finance in the 1920s: high skill, high complexity, high pay, and strong links to deregulated, active financial markets.

2 Incremental contribution of the paper

- **A long-run human-capital history of finance.** Earlier work studied financial development, the size of financial markets, or top incomes. This paper constructs a nearly century-long history of skill intensity, occupational complexity, and compensation inside finance relative to the rest of the private sector.
- **A new measure of financial organization.** Because financial innovation is difficult to measure directly, the paper uses the human capital and tasks of finance workers as an economically meaningful measure of how the finance industry is organized.
- **Separating growth, skill bias, and rents.** The paper shows that financial market growth and finance wage premia are not the same phenomenon. From 1945 to 1980 finance grows without becoming skill-biased; from 1980 to the mid-1990s finance becomes more skill-intensive without a large residual wage premium; after 1995 growth, skill bias, and excess wages appear together.
- **Linking regulation to labor demand.** By constructing a historical deregulation index and comparing time series and subsectors, the paper connects financial regulation to the demand for skilled labor in finance.
- **Contribution to inequality.** The paper quantifies how much finance directly contributes to wage inequality and residual wage inequality since 1980.
- **Dynamic labor-contract interpretation.** The paper adds an important nuance to the “bankers are overpaid” discussion: observed wages rise, but part of the premium compensates workers for steeper and riskier wage profiles.
- **Policy relevance.** The paper links compensation in finance to regulatory capacity: if private finance pays very large premia, regulators may have difficulty attracting and retaining comparable talent.

3 Data and measurement

3.1 Industry scope and comparison group

- The finance sector is divided into credit intermediation, insurance, and other finance. Other finance includes securities, commodities, investment banking, venture capital, private equity, hedge funds, trusts, and related investment activities.
- The benchmark comparison group is the nonfarm private sector excluding finance.
- Most series are measured relative to the benchmark to remove aggregate changes in education, wages, and the occupational structure of the economy.

Interpretation: The paper is not asking whether the whole economy became more educated. It asks whether finance became unusually skill-intensive and high-paid relative to the rest of the private economy.

3.2 Relative education

- Education is the share of workers with strictly more than high school education.
- For 1940–2005, education is computed from Census and Current Population Survey data.
- For 1910–1930, education is imputed using occupation-level education shares.
- Relative education is the difference between the educated share in finance and the educated share in the nonfarm private sector.

Interpretation: Relative education is the first human-capital measure. It captures broad skill intensity, though the meaning of education changes over time.

3.3 Relative wages and top earners

- Average wages in finance are compared with average wages in the nonfarm private sector.
- The paper also measures the relative share of top-decile earners working in finance and the relative wage of top-decile workers in finance.
- Top-earner measures help address the concern that education alone is an imperfect proxy for talent.

Interpretation: If finance becomes a magnet for high-ability workers, the pattern should appear not only in college shares but also in the concentration and pay of top earners.

3.4 Job complexity and task measures

- The paper constructs relative task intensity measures using occupational task data.
- Complex tasks include direction, control, planning, and mathematical aptitude.
- Routine tasks include manual dexterity and cognitive tasks such as set limits and tolerances.

Interpretation: A finance job can become more skilled either because workers are more educated or because the tasks performed are more analytical and less routine. The task measures provide an independent check on the education patterns.

3.5 Explanatory variables

- The deregulation index combines changes in bank branching restrictions, Glass-Steagall separation, interest rate ceilings, and separation of banks from insurance companies.
- Financial innovation is proxied by patents used in finance relative to total patents.
- Corporate finance activity is measured using IPO share of market capitalization and the corporate default rate.
- Globalization is proxied by U.S. foreign assets over GDP.
- Information technology is proxied by the finance share of IT capital relative to other sectors.
- The top marginal tax rate is included to capture the tax cost of high wage compensation and possible labor supply effects.

Interpretation: Deregulation is the core explanatory variable, but the paper explicitly compares it with innovation, corporate finance activity, IT, globalization, and taxes.

4 Models and empirical specifications

4.1 Top-decile finance talent measure

Let $k_{i,t} = 1$ if worker i earns more than the economy-wide top-decile wage in year t . The share of top-decile workers in sector j is

$$s_{j,t}^{top} = \frac{\sum_{i \in j} \omega_{i,t} k_{i,t}}{\sum_{i \in j} \omega_{i,t}},$$

where $\omega_{i,t}$ are sampling weights. The relative top-decile share in finance is

$$\theta_{fin,t}^{top} = s_{fin,t}^{top} - s_{nonfarm,t}^{top}.$$

Interpretation: This variable asks whether finance disproportionately employs workers who are already at the top of the economy-wide wage distribution.

4.2 Relative top wage in finance

The relative top wage in finance compares top-decile wages in finance to top-decile wages in the nonfarm private sector:

$$\omega_{fin,t}^{top} = \frac{w_{fin,t}^{top} \theta_{fin,t}}{w_{nonfarm,t}^{top} \theta_{nonfarm,t}}.$$

Interpretation: This measure separates the presence of top workers in finance from the pay of those top workers.

4.3 Demand for skill framework

The paper uses a constant elasticity of substitution skill demand framework. A simplified version is

$$Y_{j,t} = \left[\alpha_j (B_{j,t} H_{j,t})^{\frac{\sigma-1}{\sigma}} + (1 - \alpha_j) (A_{j,t} L_{j,t})^{\frac{\sigma-1}{\sigma}} \right]^{\frac{\sigma}{\sigma-1}},$$

where H and L are high- and low-skill labor, B and A are factor-augmenting technologies, and σ is the elasticity of substitution.

Interpretation: Relative skill demand rises when deregulation or financial activity increases the productivity or task demand of high-skill finance labor.

4.4 Historical change regressions

The paper estimates predictive regressions of the form

$$y_{fin,t+5} - y_{fin,t} = \alpha + \beta(X_t - X_{t-5}) + \varepsilon_t,$$

where $y_{fin,t}$ is relative education or relative wage, and X includes deregulation, financial innovation, IPO activity, default rates, globalization, and taxes. Standard errors allow for serial correlation.

Interpretation: The lag-lead structure asks whether changes in regulation or financial activity predict future changes in finance skill intensity and wages.

4.5 Individual wage premium regressions

The wage premium analysis compares workers in finance to similar workers elsewhere:

$$\log w_{i,t} = \alpha_t + \beta_t \mathbf{1}\{Finance_{i,t}\} + \gamma'_t X_{i,t} + \varepsilon_{i,t},$$

where $X_{i,t}$ includes education, experience, gender, race, location, and other worker controls. Some specifications include individual fixed effects.

Interpretation: The coefficient β_t measures the wage premium in finance after accounting for observable worker characteristics or, in fixed-effects specifications, time-invariant individual ability.

4.6 Career wage profile regressions

The career profile analysis estimates how starting wages, slopes, dispersion, and residual earnings risk differ between finance and nonfinance career paths.

Interpretation: This connects wage premia to labor contract theory. If finance pay is more backloaded and risky, raw wage differences overstate utility-equivalent compensation differences.

5 Identification and empirical design

5.1 What makes the evidence informative

- The central facts are based on long historical series, multiple data sources, and multiple measures of human capital.
- The U-shape appears in average wages, education, top earners, executive compensation, and job complexity.
- Time-series regressions and subsector panel regressions connect the U-shape to deregulation and financial activity.
- Wage regressions with worker controls and individual fixed effects show that the recent finance premium is not only an education-composition effect.

Interpretation: The paper combines historical measurement, comparative time series, and worker-level regressions. No single exercise is definitive, but the same timing appears across many outcomes.

5.2 Main identification limitation

- Financial deregulation is not randomly assigned.
- Deregulation may respond to the same forces that raise finance skill demand.
- IT and globalization are difficult to measure over the full century.
- The paper cannot measure the social productivity of finance jobs.

Interpretation: The paper's strongest claim is descriptive and diagnostic: it establishes new facts and shows that deregulation is the most robust predictor, but it does not fully identify a causal structural model.

6 Tables and figures

6.1 Figure I: Finance Relative Wage and Relative Education; Table I: Summary Statistics

Read:

- Figure I shows a U-shape in both relative education and relative wages. Finance is high-skill and high-wage in the 1910s–1930s, loses that advantage from the 1940s through the 1970s, and recovers sharply after 1980.
- Relative wages rise from near parity around the late 1970s to about 1.7 by the mid-2000s.
- Table I reports means and dispersion for the key variables. Relative education averages 0.155 in the time series, while relative wages average 1.320.
- The deregulation index, financial patent share, IPO activity, default rate, top tax rate, globalization, and IT capital variables summarize the candidate mechanisms.

Economic message: The opening evidence establishes the paper’s core fact: finance has not always been highly paid and highly skilled. Its human-capital intensity is cyclical over the long run and tightly related to institutional change.



FIGURE I

(a) Figure I: relative wage and education

	Obs.	Mean	Std. Dev.	Min	Max
Time series					
Relative education	96	0.155	0.024	0.120	0.1
Relative wage	98	1.320	0.230	1.027	1.7
Deregulation index	108	-1.058	1.300	-2.833	1.0
Patents used in finance over total patents	103	0.016	0.003	0.013	0.0
IPO share of market capitalization (normalized)	103	0.000	1.000	-0.948	4.0
Default rate on all American corporates (normalized)	89	0.000	1.000	-0.869	4.0
Top marginal income tax rate	99	0.590	0.248	0.070	0.5
Foreign assets over GDP	107	0.214	0.198	0.030	1.0
Relative share of IT in capital stock	60	0.032	0.038	0.000	0.1
Panel of three subsectors					
Relative education	171	0.176	0.073	0.082	0.3
Relative wage	171	1.299	0.600	0.739	3.5
Deregulation index	171	-1.574	1.078	-3.000	1.0
Relative share of IT in capital stock	171	0.062	0.064	0.000	0.3

Notes: Education is the share of employees with (strictly) more than high school education. Education in 1940–2005 is computed from U.S. Census data and from the Current Population Survey. In 1910–1930 education is imputed by using educational shares within occupations. Relative education is the difference in educated shares between finance and the nonfinance private sector. Wages 1950–2000 are computed from the Industry Accounts of the United States, Kuznets (1941) and Martin (1958). The relative wage is the ratio of wages in finance to the nonfinance private sector. The deregulation index incorporates bank branching restrictions (mostly phased out during the 1980s); the Glass-Steagall act in 1933 and repealed in 1999; interest rate ceilings (introduced in 1933 and removed by 1984); and legislation to separate banks from insurance companies (introduced in 1933 and repealed in 1999). Data on the number of patents used in finance and elsewhere are from the Historical Statistics of the United States in 1906, 1908, and revised this as of 1999.

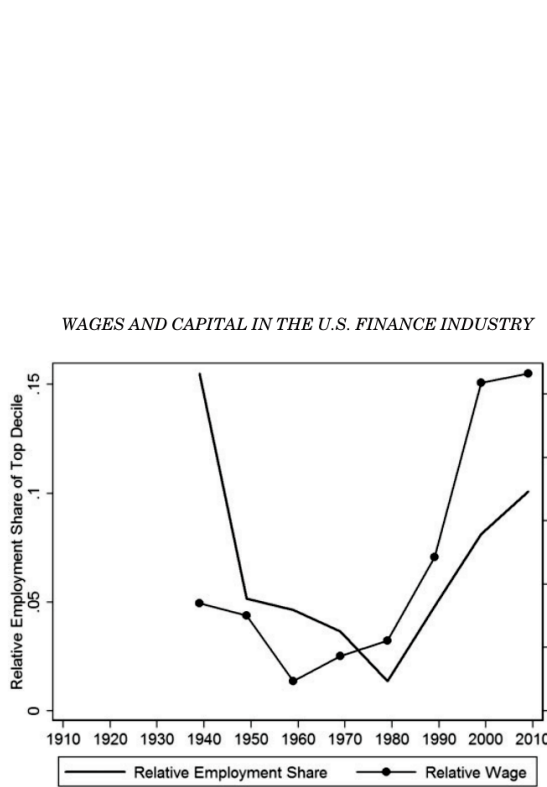
(b) Table I: summary statistics

6.2 Figure II: Top Earners in Finance; Figure III: Top Earners in Finance Relative to Selected Industries

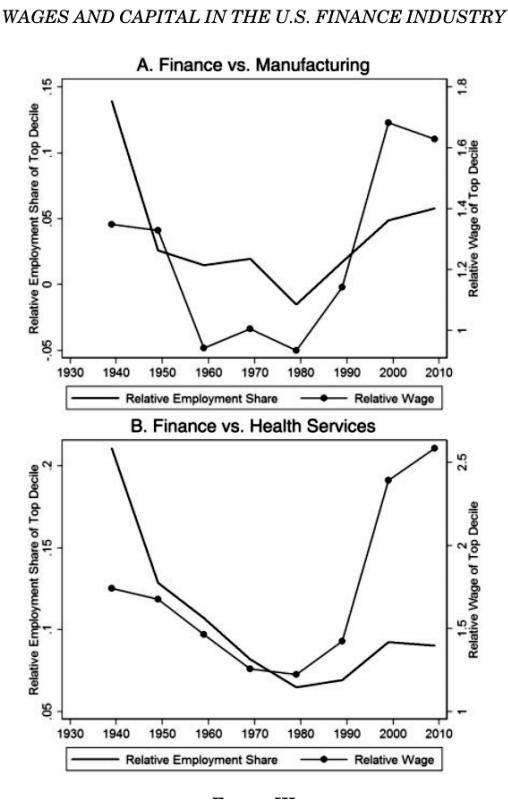
Read:

- Figure II shows that the finance share of top-decile earners and their relative wages follow the same U-shape as average wages and education.
- Finance’s top-earning intensity declines through the mid-century and rises sharply after 1980.
- Figure III compares finance to manufacturing, health services, and legal services. The rebound in top finance earners is not simply a general rise in all professional sectors.
- Relative to legal services, finance loses much of its top-earner advantage by 1980 but recovers strongly in the 1990s and 2000s.

Economic message: The top-earner results show that the finance boom is not merely an average wage effect. Finance becomes increasingly concentrated at the high end of the talent and compensation distribution.



(a) Figure II: top earners in finance



(b) Figure III panels A–B: finance versus manufacturing and health

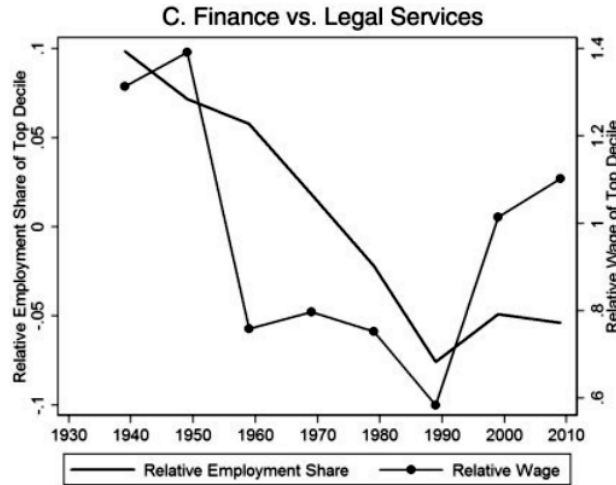


Figure III panel C: finance versus legal services

6.3 Figure IV: Top Executive Relative Compensation in Finance; Table II: Decomposition of Changes in Relative Wage of Finance

Read:

- Figure IV shows that relative executive compensation in finance also has a U-shape, with a particularly sharp rise after the 1980s.
- The total relative executive compensation series rises far above the ex-options series in the late 1990s and 2000s.
- Table II decomposes changes in finance relative wages into within-category wage changes and between-category composition changes.
- In 1980–2005, a large part of the increase comes from between-occupation and between-education composition, showing that finance moves toward higher-paid types of jobs and workers.

Economic message: The rise of finance pay is partly a composition story: finance changes what jobs it contains and who it employs. But composition does not explain everything, which motivates later wage premium analysis.

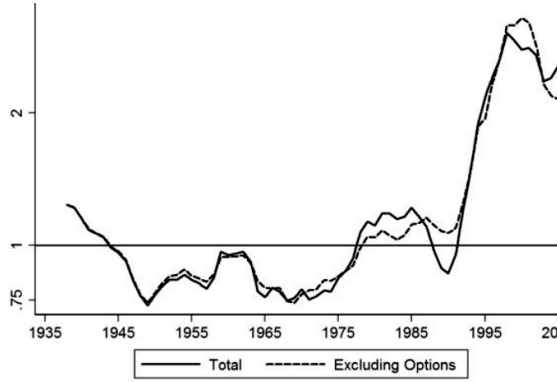


FIGURE IV

(a) Figure IV: top executive compensation

TABLE II
DECOMPOSITION OF CHANGES IN RELATIVE WAGE OF FINANCE

	Within	Between	Total (=Within + Between)
A. Occupations within finance (CPS)			
1969–1980	–0.026	0.029	0.003
1980–2005	0.097	0.304	0.401
B. Educational attainment within finance (CPS)			
1969–1980	–0.107	0.110	0.003
1980–2005	0.103	0.298	0.401
C. Subsectors within finance (CPS)			
1969–1980	0.024	–0.022	0.003
1980–2005	0.287	0.114	0.401
D. Subsectors within finance (Industry Accounts)			
1933–1960	–0.574	0.002	–0.571
1960–1980	–0.044	–0.003	–0.047
1980–2005	0.592	0.056	0.648
E. Industries within nonfarm private sector (Industry Accounts)			
1933–1960	0.353	–0.004	0.349
1960–1980	0.046	–0.039	0.007
1980–2005	–0.361	–0.051	–0.411
F. Geography, across states (SPI)			
1969–1980	0.003	–0.008	–0.005
1980–2005	0.790	–0.035	0.755

Notes. All decompositions are based on equation (6) in the text. The decompositions in A are across seven occupational categories; in B they are across five educational attainment categories; in C they are across three subsectors within finance; in E they are across 11 industries within the nonfarm sector (excluding finance); in F they are across 51 states. See text for complete description of classification.

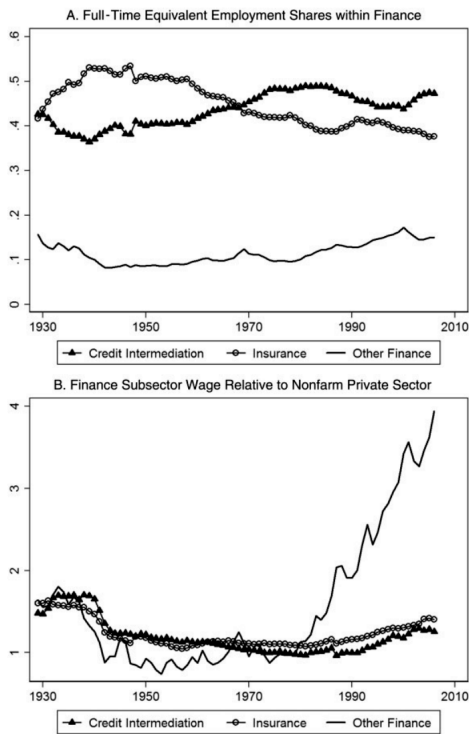
(b) Table II: decomposition of finance wage changes

6.4 Figure V: Subsector Wage and Education; Figure VI: Relative Complexity

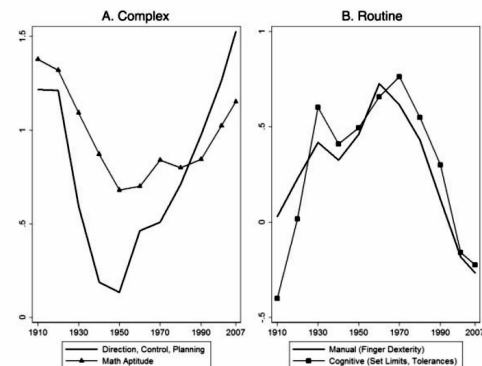
Read:

- Figure V shows that full-time-equivalent employment shares across finance subsectors are relatively stable, while finance subsector wages rise sharply after 1980, especially in other finance.
- Credit intermediation, insurance, and other finance all display broad U-shape patterns, but securities and investment-related finance contribute strongly to the late increase.
- Figure VI shows that complex tasks in finance decline relative to the rest of the economy around mid-century and recover after 1980, while routine tasks show the opposite broad pattern.
- The task evidence is important because it shows that finance jobs themselves become more analytical and less routine, not merely that finance hires more educated workers.

Economic message: Human capital demand in finance is not uniform across subsectors. The late-century rise is concentrated in segments of finance where deregulation and market activity raise complexity.



(a) Figure V: finance subsector wages and education



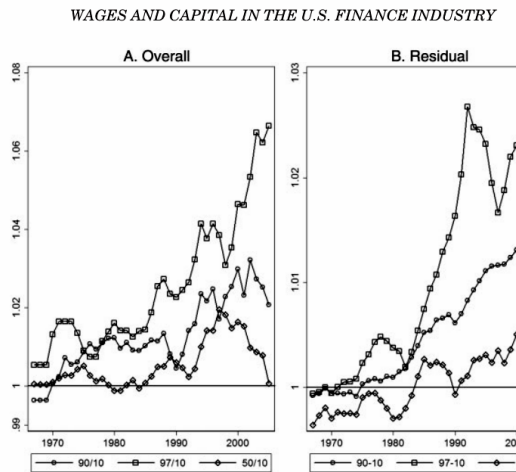
(b) Figure VI: relative task complexity

6.5 Figure VII: Contribution of Finance to Inequality; Figure VIII: Explanatory Variables

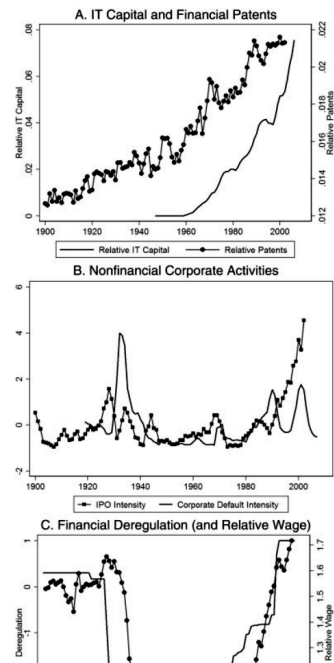
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- Figure VII compares actual inequality measures to a simulated economy in which finance employment share is held fixed and finance wages grow like median nonfinance wages.
- The ratios exceed one after 1980, meaning measured inequality would have been lower absent the finance wage boom.
- The contribution is larger near the top of the wage distribution, especially for 97–10 relative to 90–10 or 50–10 measures.
- Figure VIII plots candidate explanatory variables: capital-market activity, corporate activity, and deregulation. Deregulation has a timing that lines up closely with the human-capital U-shape.

Economic message: Finance matters for aggregate wage inequality because its wage premium is large and concentrated near the top. The timing suggests a connection between deregulation, market complexity, and inequality.



(a) Figure VII: finance and inequality



(b) Figure VIII: explanatory variables

6.6 Table III: Historical Determinants of Education and Wages in Finance Industry

Read:

- Panel A reports change regressions. Changes in the deregulation index strongly predict future changes in relative education and relative wages.
- In the education regressions, the deregulation coefficient remains significant after adding patents, IPO activity, default rates, globalization, and taxes.
- Panel B reports level regressions and again finds a strong relationship between deregulation and finance relative education and wages.
- Panel C uses the panel of three finance subsectors and confirms the link between deregulation and human-capital demand within finance.

Economic message: The regressions make the descriptive timing more systematic. Deregulation is the most robust predictor of finance skill intensity and wages, while patents and some other innovation proxies are less stable.

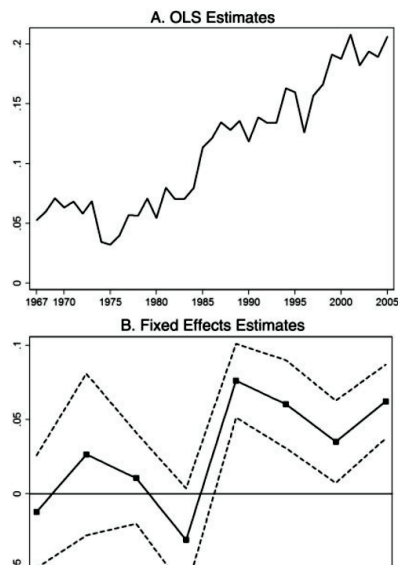
6.7 Figure IX: Finance Relative Wage in the Past Century; Figure X: Predicted Relative Wages

Read:

- Figure IX compares finance with a tri-state benchmark and the rest of the U.S. Finance relative wages rise steeply after 1980, and the broad trend is visible across comparisons.

Economic message: Finance offers not only higher average pay but a different earnings contract. The compensation package becomes more backloaded and risky, which helps interpret the raw premium without eliminating the puzzle.

WAGES AND CAPITAL IN THE U.S. FINANCE INDUSTRY



(a) Figure XI panels A–B: wage premium and FE estimates

TABLE IV THE FINANCE PREMIUM OVER TIME WITH INDIVIDUAL FIXED EFFECTS							
		Dependent variable: log of hourly wages					
		1967–1970	1971–75	1976–80	1981–85	1986–90	1991–95 1996–2000 2001–2005
A. Complete sample							
Finance Indicator		–0.017 (0.019)	0.022 (0.028)	0.010 (0.016)	–0.030* (0.018)	0.076*** (0.013)	0.069*** (0.015) 0.036** (0.014) (0.013)
Observations		44740	22550	97944	78172	98086	71986 85288 116512
R-squared		0.887	0.878	0.891	0.890	0.883	0.865 0.843 0.838
Finance indicator corrected for measurement error		–0.097	0.119	0.047	–0.061*	0.236***	0.173*** 0.095** 0.161***
B. Drop switchers out of finance							
Finance Indicator		–0.045* (0.027)	0.076* (0.040)	0.029 (0.023)	–0.029 (0.024)	0.075*** (0.017)	0.053** (0.021) 0.034* (0.020) (0.018)
Observations		44498	32794	97456	77806	87850	71230 84214 115296
R-squared		0.887	0.880	0.891	0.891	0.884	0.867 0.844 0.839
C. Drop switchers into finance							
Finance Indicator		0.004 (0.028)	–0.028 (0.038)	–0.008 (0.021)	–0.037 (0.020)	0.078*** (0.018)	0.072*** (0.021) 0.042** (0.020) (0.018)
Observations		44482	32804	97532	77764	87752	71232 84200 115366
R-squared		0.887	0.879	0.891	0.891	0.884	0.866 0.843 0.839

Note: Standard errors in parentheses. ***p < .01, **p < .05, *p < .1. All regressions include individual fixed effects and within-sample year effects, a constant, indicators for urban dwellings and marital status, experience and its square, and probability of unemployment by 2-digit industry. We do not include indicators for other demographics—the sample, education, sex, and race—because they do not vary over time for individuals in this sample. Correction for measurement error follows Franses (1984) under the assumption that 2% of observed transitions are misclassified. The proportions of switches into and out of finance are roughly equal, as required. The correction is calculated separately for each period. Data: Matched CPS.

Table IV: finance premium with individual fixed effects

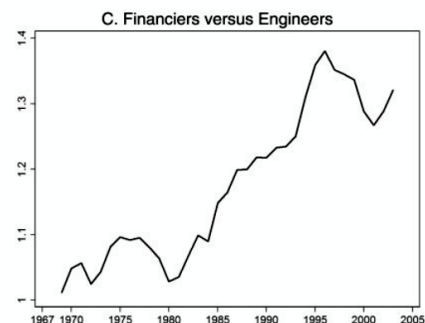


FIGURE XI

Continued.

The results are reported in Panel A of Table IV and plott

(b) Figure XI panels C–D: financiers versus engineers and premium

TABLE V CAREER WAGE PROFILES				
		1971–80 (%)	1981–90 (%)	1991–2005 (%)
A. Estimated wage profiles: men up to 5 years of experience				
(1)	Finance starting wage difference (finance dummy)	5.14%	10.7%	8.64
(2)	Finance linear difference relative to nonfinance	–0.69%	0.04%	2.45
B. Estimated wage profiles: men up to 29 years of experience				
(3)	Finance starting wage difference (finance dummy)	2.16%	10.5%	15.6
(4)	Nonfinance wage linear term	5.16%	4.91%	4.60
(5)	Implied finance linear term (c2 + 4)	4.47%	4.95%	7.05
(6)	Calibrated finance linear term	4.82%	5.12%	6.69
(7)	Calibrated finance linear difference relative to nonfinance	–0.34%	0.21%	2.09
(8)	Common quadratic term	–0.11%	–0.09%	–0.09
(9)	Excess average log wage dispersion	3.97%	5.66%	9.26
C. Iso-utility starting wage differences				
CRRA	Source of finance linear term	Implied starting wage difference		
p = 2	Calibrated (using line 6)	4.96	–0.04	–15.5
p = 3		5.34	3.04	–8.71
p = 2	Estimated (using line 5)	9.21	1.75	–18.3
p = 3		9.42	3.67	–11.1

Note: Panel A reports results from (log) wage regressions with a separate intercept and a separate linear term in experience for finance and the rest of the nonfarm private sector. We control for a common quadratic term in experience, education categories, race, marital status, urban dwellings, industry-specific risk of unemployment, and year dummies. The sample includes full-time, full-year male workers with 5 years of experience or less (short horizon). Panel B lines 3, 4, and 8 report results from the same regression model, using a longer horizon of up to 29 years of experience. Line 5 uses the difference in linear terms from the short horizon sample to calculate the linear term in finance. Lines 6–9 are calculated by sorting the average relative wage of finance over the entire wage profile in the individual excess wage in log form of each sample (the relative wage at finance out of the benchmark is 0.97 in 1980, 1.07 in 1990, and 1.15 in 2005). The excess average log wage standard deviation is calculated from the residuals of the regressions in the long horizon. Panel C reports the initial finance wage differential (finance dummy) that would make workers indifferent between finance and nonfinance over a 30-year career, given the linear terms in line 5 or 8, and using a pre-period CRRA utility function with p = 2 or 3. All regression results are reported in Online Appendix Table A5 and the standard deviations of residuals by industry and experience level are reported in Online Appendix Table A6.

Table V: career wage profiles

7 Short summary

- Finance was high-wage and high-skill before 1940, similar to other sectors between 1950 and 1980, and high-wage and high-skill again after 1980.
- The U-shape appears in average wages, education, top earners, executive compensation, and job complexity.
- Deregulation is the most robust predictor of changes in finance relative education and wages.
- Financial market activity, corporate finance activity, globalization, IT, and taxes also matter in some specifications, but less consistently than deregulation.
- Finance contributes to the rise in income inequality after 1980, especially near the top of the wage distribution.
- The late finance wage premium is not fully explained by education, occupations, subsectors, fixed individual effects, or benchmark executive compensation models.
- Career wage profiles in finance become steeper, more dispersed, and riskier after 1980, so the certainty-equivalent premium is smaller than the raw wage premium.
- The paper does not determine whether finance workers are socially overpaid, but it shows that finance attracts talent and that regulation shapes this allocation.

8 Conclusion

8.1 Core conclusion

Philippon and Reshef document a long-run U-shape in the skill intensity, complexity, and compensation of the U.S. finance industry. Finance is unusual not because it is always highly skilled or highly paid, but because its relative human-capital intensity changes dramatically with the regulatory and financial-market environment.

8.2 Economic intuition

The key intuition is that finance becomes skill-intensive when financial markets are complex and relatively unconstrained. Deregulation expands the set of financial products, strategies, and organizational forms. This raises the demand for analytical, managerial, and high-skill labor. When regulation is tight and financial activity is simpler, finance employs fewer highly skilled workers relative to the rest of the economy and pays more normal wages.

8.3 Incremental contribution revisited

The paper’s incremental contribution is not only to show that finance workers are highly paid in recent decades. Its contribution is to place that fact in a century-long historical perspective and to show that the modern finance boom is a reemergence of an earlier high-skill equilibrium. The paper also separates three forces that are often conflated: expansion of finance, skill bias in finance employment, and residual excess wages in finance. This distinction is central for thinking about the allocation of talent and the welfare implications of finance.

8.4 Implications for inequality and regulation

Because finance premia are concentrated among top earners, the post-1980 expansion of high-paying finance jobs contributes directly to wage inequality. The paper also has regulatory implications: if private finance pays very large premia, regulators may struggle to hire and retain workers with comparable skills. At the

same time, tighter regulation may push talent out of finance. Whether that reallocation is socially desirable depends on the social value of financial work relative to alternative uses of talent, a question the paper explicitly leaves open.

8.5 Limitations

The paper is careful not to claim that finance jobs are socially unproductive or that deregulation causally explains all changes in pay. Historical regulation, technology, globalization, and financial demand are jointly determined. The paper also cannot fully measure financial innovation or the welfare value of new financial products. Its strongest contribution is the construction and interpretation of new long-run facts.

8.6 Takeaway

The finance wage boom should be understood as a human-capital phenomenon, not merely as a sector-size phenomenon. Finance becomes high-wage when it becomes skill-intensive and complex. The unresolved welfare question is whether the talent pulled into finance produces enough social value to justify the private rewards it receives.